

More Than the Maximum: Redemption Discretion, Sponsor Support, and Fiduciary Duty in the 2026 Private Credit Run

Note — Draft of June 2026

Abstract

In the first quarter of 2026, retail investors tried to withdraw roughly \$13.9 billion from the non-traded business development companies (BDCs) that anchor the retail private credit market, and billions more from private credit interval funds; sponsors honored about \$7.4 billion and left the remainder—on the order of \$6.5 billion—behind quarterly gates. The funds did not respond uniformly, and the dispersion is the puzzle this Note examines. Some honored *more* than their advertised limit. Blackstone Private Credit Fund (BCRED) met 100% of requests by enlarging its repurchase offer to the regulatory maximum and having its sponsor and employees contribute roughly \$400 million of new capital; Cliffwater's \$32.5 billion interval fund repurchased the structural maximum of 7% against demand near 14%. Others rationed: Apollo, Ares, and Barings each held a 5% offer and pro-rated tendering investors to between 43% and 45% of what they sought; Blue Owl held two funds at 5% against requests of 21.9% and 40.7%, and terminated the redemption window of a third. This Note makes three contributions. First, it shows that the "5% quarterly cap" the industry markets is, in both regulatory wrappers, a 5% *offer* with a 7% *ceiling*: Rule 13e-4(f)(1) and Rule 23c-3(b)(5) each supply a symmetric, discretionary two-percentage-point cushion, so that honoring up to 7% is ordinary discretion while honoring more requires fresh capital or the abandonment of the program. Second, it argues that honoring more than the maximum is best understood not as generosity but as the reappearance of money-market-fund sponsor support, carrying the same implicit-guarantee pathology that two decades of money-market reform sought to discipline—a pathology sharpened by BCRED's reversion to a bare 5% one quarter later. Third, it locates the legal fault line: the gate is a contract term, but the decision

to waive or enforce it is a fiduciary act, and because these vehicles are organized predominantly as Delaware statutory trusts and Maryland corporations, that act is policed less by classical fiduciary duty than by the implied covenant of good faith and fair dealing and by federal disclosure law. The Note closes with the disclosure and structural reforms the episode recommends, an analysis made urgent by the migration of these products into defined-contribution retirement plans.

Introduction

On March 2, 2026, the largest non-traded business development company in the United States told its shareholders something unusual. Blackstone Private Credit Fund—BCRED, a vehicle holding roughly \$80 billion in assets—announced that it was "fulfilling all repurchase requests this quarter, as we have done every quarter since inception."¹ That promise was harder to keep than it sounded. Redemption requests for the quarter had reached nearly 8% of the fund's shares, well above the 5% the fund offers to repurchase. To honor them in full, BCRED's board first enlarged the quarterly tender offer to 7% of shares—"the maximum amount permitted without changing the terms of the repurchase offer"—and then went further: Blackstone and its employees invested approximately \$400 million of new money into a BCRED feeder fund, "on the same terms as all other investors," an amount representing roughly 0.9% of the fund's shares, in order to "meet 100% of requests for the quarter."²

Three weeks later, a competitor told its shareholders something very different. Apollo Debt Solutions BDC had received requests to repurchase about 11.2% of its shares. It declined to enlarge its offer. "Consistent with the Fund's designated liquidity objectives," Apollo wrote, it "will honor

¹Blackstone Private Credit Fund, Amendment No. 1 to Tender Offer Statement (Schedule TO-I/A) Item 5(e) (Mar. 2, 2026) (SEC Accession No. 0001193125-26-085706) [hereinafter BCRED Q1 2026 TO-I/A].

²*Id.* The amendment states that the board "elected to upsize the offer to 7% of shares, the maximum amount permitted without changing the terms of the repurchase offer," and describes the \$150 million employee and \$250 million firm investments into a BCRED feeder fund.

redemption requests for 5% of shares outstanding," pro-rating the tenders so that "each redeeming investor will be returned approximately 45% of their requested capital."³ The financial press distilled the contrast to a number: Apollo gave investors "only 45%."⁴ And a third sponsor did something more drastic still. In mid-February, Blue Owl Capital Corporation II (OBDC II) closed its quarterly redemption window altogether, announcing that it would "prioritize additional return of capital distributions to its shareholders on a quarterly basis, which are intended to replace quarterly tender offers."⁵

These were not idiosyncratic reactions to idiosyncratic facts. They were three responses to one event: the first broad redemption stress in the history of the retail private credit fund. According to Robert A. Stanger & Co., investors across the non-traded BDC landscape sought to redeem approximately \$13.9 billion in the first quarter of 2026; sponsors honored roughly \$7.4 billion, meeting only about 53% of demand and leaving the balance—on the order of \$6.5 billion—trapped behind quarterly limits.⁶ The pressure coincided with deteriorating credit fundamentals—Fitch Ratings' private credit default index reached 5.8% in January 2026, its highest level since the series began roughly eighteen months earlier⁷—and with non-traded BDC shares trading, in the

³Apollo Debt Solutions BDC, Current Report (Form 8-K) Item 7.01 (Mar. 23, 2026) (SEC Accession No. 0001193125-26-119949) [hereinafter Apollo Q1 2026 8-K].

⁴Hugh Son, *Apollo Gives Investors Only 45% of Requested Withdrawals from \$15 Billion Private Credit Fund*, CNBC (Mar. 23, 2026).

⁵Blue Owl Capital Corporation II, Current Report (Form 8-K) Item 8.01 (Feb. 18, 2026) (SEC Accession No. 0001628280-26-009025) [hereinafter OBDC II 8-K].

⁶Figures attributed to Robert A. Stanger & Co. and reported in trade-press coverage of the first-quarter 2026 non-traded BDC tender season. The \$13.9 billion requested and \$7.4 billion honored are Stanger figures; the unmet balance of approximately \$6.5 billion is the arithmetic difference (roughly 53% of requested demand was satisfied). These aggregate figures derive from a third-party data source rather than a primary filing and are cited as such.

⁷Fitch Ratings' private credit default index (a trailing-twelve-month measure) reached 5.8% in January 2026, reported as the highest level since the index's inception approximately eighteen months earlier (August 2024); the figure is the highest in that series, not an all-time private-credit default high. *See* Fitch Ratings coverage (Feb. 2026).

few places they trade at all, at steep discounts to the net asset values at which their sponsors were repurchasing them.⁸

The phenomenon at the center of this Note is the one BCRED and Cliffwater exemplify: a fund honoring *more* redemptions than its stated maximum. At first glance this looks like good news, an act of generosity toward investors who want their money back. This Note argues that the appearance is misleading, and that the act is more legally and economically fraught than it seems. The argument proceeds from a single structural observation that the industry's marketing obscures.

The "5% cap" is not a cap. It is a 5% offer with a 7% ceiling, and the two-point cushion between them is built into both of the regulatory wrappers that dominate retail private credit. A non-traded BDC repurchases its shares through issuer tender offers governed by Rule 13e-4 of the Securities Exchange Act; that rule's paragraph (f)(1) provides that an issuer's "acceptance for payment . . . of an additional amount of securities not to exceed two percent of the class . . . shall not be deemed to be an increase" in the offer requiring extension.⁹ An interval fund repurchases its shares through periodic repurchase offers governed by Rule 23c-3 of the Investment Company Act; that rule's paragraph (b)(5) provides that, when an offer is oversubscribed, "the company may repurchase an additional amount of stock not to exceed two percent of the common stock outstanding."¹⁰ Five percent plus two percent is seven percent. The number is the same on both sides of the regulatory divide, and it is the hinge on which the 2026 episode turns: to honor up to 7%, a fund need only exercise a discretion it already holds; to honor more, it must inject fresh capital, as BCRED did, or break the program, as OBDC II did.

⁸See Mercer Capital, *Public Prices, Private Marks: What BDC Discounts Are Signaling* (2026); see also Reuters, *Private Credit Funds' Shares Trade at Steep Discounts as Concerns Grow* (2026).

⁹17 C.F.R. § 240.13e-4(f)(1) (providing that "the acceptance for payment by the issuer or affiliate of an additional amount of securities not to exceed two percent of the class of securities that is the subject of the tender offer shall not be deemed to be an increase").

¹⁰17 C.F.R. § 270.23c-3(b)(5).

That reframing organizes the analysis. Honoring 5% is the contract. Honoring up to 7% is discretion within the regulatory design. Honoring more than 7% is something else—and that "something else" is the subject of this Note's normative argument. When a sponsor spends its own balance sheet to carry redemptions past the ceiling, it is doing what money-market-fund sponsors did for decades before the Securities and Exchange Commission spent fifteen years trying to discipline the practice: it is providing discretionary sponsor support, and it is thereby manufacturing an implicit guarantee that the fund's own structure does not provide. The deepest lesson of money-market reform is that such a guarantee is most dangerous precisely because it is discretionary—worth least in the states of the world where investors need it most. BCRED proved the point within a single quarter. In the second quarter of 2026, facing comparable demand of roughly 10%, the same board that had honored 100% declined to enlarge its offer at all, telling investors that "as designed, BCRED will fulfill repurchase requests representing 5% of shares outstanding."¹¹ The backstop was real, and then it was gone, and the difference was discretion.

This Note develops the point in eight Parts. Part I situates the episode in the rise of semi-liquid private credit and the maturity-liquidity mismatch the wrappers are built to manage. Part II sets out, with care, the regulatory architecture of redemption—Section 23(c) of the Investment Company Act and the two channels it authorizes, Rule 13e-4 for BDC tender offers and Rule 23c-3 for interval funds—and establishes the symmetry of the 7% ceiling. Part III turns to the contractual machinery, quoting the operative prospectus terms verbatim. Part IV builds a taxonomy of the 2026 responses along the axis the architecture defines. Parts V, VI, and VII then deploy three lenses on the over-honoring phenomenon: the implicit guarantee and the money-market analogy (Part V); first-mover advantage and the dilution of remaining investors (Part VI);

¹¹Blackstone Private Credit Fund, "Q2 Distribution and Tender Offer Update" (Exhibit (a)(1)(vii) to Schedule TO-I/A) (June 4, 2026) (SEC Accession No. 0001213900-26-065024) [hereinafter BCRED Q2 2026 Update].

and the contract-versus-fiduciary-duty problem, including the entity-law question that determines how demanding the governing duty is (Part VII). Part VIII turns to disclosure and structural reform, and to the heightened stakes posed by the entry of these products into retirement plans.

A word on method and scope. The contractual terms quoted throughout are taken verbatim from the funds' primary filings with the Securities and Exchange Commission. The statutory and regulatory text is quoted from the United States Code and the Code of Federal Regulations. Where a factual claim rests on trade-press reporting or third-party data rather than a primary filing—the aggregate redemption figures, the reported outcome of Cliffwater's oversubscribed offer, the terms of Blackstone's 2023 anchor investment in its real estate trust—the Note says so. The Note confines its doctrinal attention to the United States retail wrappers, and it uses money-market funds, the 2022–2024 episode at Blackstone's non-traded real estate trust (BREIT), and the open-end fund liquidity rules as comparative reference points rather than objects of independent study.

I. The Semi-Liquid Bargain and Its Stress Test

A. Democratizing an illiquid asset

Private credit—direct, privately negotiated lending to corporate borrowers, largely outside the banking system and the syndicated loan market—grew over the 2010s and 2020s from a niche into a multi-trillion-dollar asset class, estimated at more than \$2 trillion globally and projected to approach \$4 trillion by the end of the decade.¹² For most of that period the asset class was the province of institutions: pensions, endowments, sovereign funds, and insurers, the last of which now hold a substantial fraction of their general-account portfolios in private credit and related

¹²Estimates of the global private credit market exceeding \$2 trillion, with projections approaching \$4 trillion by the end of the decade, are widely reported; see Quinn Emanuel Urquhart & Sullivan, LLP, *Client Alert: Private Credit Under Stress—Emerging Litigation Risks* (2026) [hereinafter Quinn Emanuel Alert] (collecting figures).

private assets.¹³ These investors accept illiquidity as the price of the asset's yield premium, and they hold through closed, fixed-term limited partnerships that return capital only as the underlying loans mature.

The defining commercial development of the 2020s was the extension of private credit to individual investors. Because retail investors will not commit to a decade-long lockup, sponsors needed a wrapper that could offer the asset's yield while promising something that looks like liquidity. The wrapper they built is the perpetual, continuously offered, semi-liquid fund: a vehicle that sells new shares more or less continuously, at net asset value, and offers to repurchase a small fraction of its shares each quarter, also at net asset value. The two dominant forms are the non-traded BDC and the private credit interval fund. Their assets under management grew explosively; by early 2026 the largest non-traded BDCs individually held tens of billions of dollars, and the largest private credit interval fund held more than \$32 billion.¹⁴

B. The maturity-liquidity mismatch

The semi-liquid fund holds illiquid assets—privately negotiated loans that do not trade on any exchange and cannot be sold quickly except at a discount—and offers its investors periodic liquidity. That is a maturity-liquidity mismatch, the same structural feature that makes banks and open-end mutual funds susceptible to runs.¹⁵ The mismatch is partial: the quarterly repurchase limit means that, unlike a demand deposit or a daily-redeemable mutual fund share, the semi-liquid fund never promises to honor all redemptions at once. But the limit does not eliminate the

¹³See *id.* (reporting, with reference to the International Monetary Fund's Global Financial Stability Report, that private credit accounts for a significant share—on the order of one-third—of North American insurers' investment portfolios). The precise share is drawn from secondary reporting and is cited as illustrative.

¹⁴Cliffwater Corporate Lending Fund reported net assets of approximately \$32.5 billion in early 2026. See *infra* note 57 and accompanying text.

¹⁵The classic account of the maturity-transformation run is Douglas W. Diamond & Philip H. Dybvig, *Bank Runs, Deposit Insurance, and Liquidity*, 91 J. Pol. Econ. 401 (1983).

mismatch; it caps it. And the cap can bind. When enough investors ask to leave at the same time, the fund either restricts withdrawals—imposing on the investors who want out the very illiquidity the wrapper was sold to avoid—or sells assets into a thin market to raise cash, imposing a different cost on the investors who remain.

The semi-liquid wrapper is, in this sense, a bet that redemption demand will be smooth and idiosyncratic rather than lumpy and correlated. The quarterly cap, the periodic valuation, and the discretion to suspend are the devices through which the fund manages that bet. They had never been tested at scale until the first quarter of 2026.

C. Two wrappers

Although they market the same promise, the two wrappers reach it through different provisions of the Investment Company Act of 1940, and the difference matters to everything that follows.

A **non-traded BDC** is a closed-end investment company that has elected to be regulated as a business development company, a category Congress created in 1980 to channel capital to private middle-market companies.¹⁶ Its shares are sold to retail investors through a continuous offering but are not listed on any exchange. Because there is no secondary market, the only routine path to liquidity is the fund's repurchase of its own shares, and a closed-end company's repurchases of its own shares are restricted by Section 23(c) of the Act, discussed in Part II. The mechanism BDCs use is the issuer tender offer under Rule 13e-4. BCRED, Apollo Debt Solutions BDC, Ares Strategic Income Fund, Barings Private Credit Corporation, and the Blue Owl non-traded BDCs are all of this type.

¹⁶Business development companies were established by the Small Business Investment Incentive Act of 1980, which added the BDC provisions (§§ 54–65) to the Investment Company Act of 1940. *See* 15 U.S.C. §§ 80a-53 to 80a-64.

A **private credit interval fund** is a registered closed-end company that has adopted, by fundamental policy, an obligation to make periodic repurchase offers under Rule 23c-3. The interval fund's defining feature is pre-commitment: its charter documents commit it to offer to repurchase a set percentage of shares at fixed intervals, and that commitment can be changed only by a shareholder vote.¹⁷ Cliffwater Corporate Lending Fund and Carlyle Tactical Private Credit Fund are of this type. A structural consequence, developed below, is that the interval fund's shares are by regulatory definition *not* "redeemable securities": the fund offers liquidity without ever promising redemption on demand.¹⁸

D. The first run, in overview

The first quarter of 2026 supplied the stress test. Redemption demand across the non-traded BDC complex rose sharply and simultaneously—Stanger's \$13.9 billion request figure against \$7.4 billion honored—and the interval funds experienced a parallel surge.¹⁹ The proximate causes were a turn in sentiment toward private credit, several high-profile credit blowups, and a rising default rate that called the funds' reported valuations into question. What the episode revealed was not that the wrappers failed—by and large the gates did exactly what they were designed to do—but that the sponsors, exercising the discretion the wrappers confer, behaved in strikingly different ways. Mapping that behavior requires first understanding the legal architecture that defines the available choices.

¹⁷17 C.F.R. § 270.23c-3(b)(2)(i) (requiring repurchases "pursuant to a fundamental policy, changeable only by a majority vote of the outstanding voting securities of the company").

¹⁸17 C.F.R. § 270.23c-3(d).

¹⁹*See supra* note 6.

II. The Regulatory Architecture of Redemption

The precise contours of a fund's repurchase options are fixed by a small body of statutory and regulatory text. Because the central claim of this Note is structural—that the marketed "cap" misstates the operative ceiling—the architecture deserves careful statement.

A. Section 23(c) and the closed-end repurchase prohibition

The foundational provision is Section 23(c) of the Investment Company Act, which begins from a prohibition. "No registered closed-end company shall purchase any securities of any class of which it is the issuer," the statute provides, "except" through one of three enumerated channels: (1) "on a securities exchange or such other open market as the Commission may designate," provided that, for stock, the company has informed its stockholders within the preceding six months of its intention to purchase; (2) "pursuant to tenders, after reasonable opportunity to submit tenders given to all holders of securities of the class to be purchased"; or (3) "under such other circumstances as the Commission may permit by rules and regulations or orders for the protection of investors in order to insure that such purchases are made in a manner or on a basis which does not unfairly discriminate against any holders of the class or classes of securities to be purchased."²⁰

Two features of this text drive the entire repurchase architecture. First, the default is prohibition; a closed-end company may buy back its own shares only as the statute permits. Second, the permitted channels are shot through with an antidiscrimination principle: the tender channel requires an opportunity given to "all holders," and the rulemaking channel is expressly conditioned on insuring that repurchases do not "unfairly discriminate against any holders." This is the statutory source of the pro-rata principle that governs every oversubscribed repurchase

²⁰15 U.S.C. § 80a-23(c).

examined in this Note. A fund facing more demand than it will satisfy may not pick and choose among its investors; it must treat the class ratably.

The application of Section 23(c) to business development companies repays attention, because it is easy to state imprecisely. Section 63 of the Act makes Section 23 applicable to BDCs "to the same extent as if [the BDC] were a registered closed-end investment company, except as follows," and the enumerated exceptions then modify only Section 23(a) and Section 23(b)—the provisions governing the issuance of senior securities and the sale of stock below net asset value.²¹ None of the Section 63 exceptions touches Section 23(c). The consequence is that **Section 23(c) applies to a BDC's repurchases of its own shares unmodified**. A non-traded BDC, no less than a registered closed-end fund, must repurchase through one of the three Section 23(c) channels, subject to the same antidiscrimination constraint. This is why non-traded BDC repurchase programs are structured as tender offers open to all holders and prorated when oversubscribed: the structure is not a matter of sponsor preference but of statutory command.

B. The BDC channel: Rule 13e-4 and Regulation 14E

A BDC that repurchases through the tender channel of Section 23(c)(2) conducts an issuer tender offer, which is independently governed by the Securities Exchange Act of 1934 and, in particular, by Rule 13e-4 and Regulation 14E. Three features of that regime matter here.

First, the **minimum offering period and the all-holders/best-price rules**. An issuer tender offer must remain open for at least twenty business days,²² must be "open to all security

²¹ 15 U.S.C. § 80a-62 (providing that § 80a-23 "shall apply to a business development company to the same extent as if it were a registered closed-end investment company, except as follows"). The three enumerated exceptions modify only the senior-security and below-net-asset-value provisions: paragraph (1) addresses certain subsidiary issuances under § 23(a), and paragraphs (2) and (3) permit sales of common stock below net asset value under § 23(b) (the latter on exercise of warrants issued under § 61(a)(4), 15 U.S.C. § 80a-60(a)(4)). No paragraph of § 63 references or modifies § 23(c).

²² 17 C.F.R. § 240.13e-4(f)(1)(i) (issuer tender offer must remain open at least twenty business days from commencement).

holders of the class of securities subject to the tender offer," and must pay "the highest consideration paid to any other security holder" for tendered securities.²³ These provisions reinforce, at the level of the offer mechanics, the antidiscrimination principle of Section 23(c).

Second, **pro-rata acceptance on oversubscription**. Rule 13e-4(f)(3) provides that an issuer making a tender offer "for less than all outstanding equity securities of a class" that "receives greater tenders than it will accept" must take up the tendered securities "as nearly as may be pro rata, disregarding fractions, according to the number of securities tendered by each security holder."²⁴ When a BDC's repurchase offer is oversubscribed, in other words, federal law requires the very pro-rata that produced Apollo's "45%" and Blue Owl's "23%."

Third, and most important for this Note, **the de minimis cushion**. Rule 13e-4(f)(1) requires the offer to remain open following any "increase or decrease in the percentage of the class of securities being sought," but it qualifies that requirement with a critical proviso: "the acceptance for payment by the issuer or affiliate of an additional amount of securities not to exceed two percent of the class of securities that is the subject of the tender offer shall not be deemed to be an increase."²⁵ An issuer that has offered to buy 5% of a class may therefore accept up to 7% without its purchase being treated as a change in the terms of the offer. The two-point cushion is not a loophole; it is a deliberate feature of the tender-offer rules, and the funds invoke it expressly. Every issuer tender offer examined in this Note reserves, in identical language, "the right in its sole discretion to purchase additional outstanding Shares representing up to 2.0% of the Fund's outstanding Shares without amending or extending the Offer as permitted by Rule 13e-4(f)(1)."²⁶

²³17 C.F.R. § 240.13e-4(f)(8) (all-holders and best-price requirements).

²⁴17 C.F.R. § 240.13e-4(f)(3).

²⁵17 C.F.R. § 240.13e-4(f)(1).

²⁶Blackstone Private Credit Fund, Offer to Purchase (Exhibit (a)(1)(ii) to Schedule TO-I) § 3 (May 1, 2026) (SEC Accession No. 0001193125-26-199360) [hereinafter BCRED Offer to Purchase]; *accord* Apollo Debt Solutions BDC, Tender Offer Statement (Schedule TO-I) Ex. (a)(1)(ii) § 1 (Feb. 13, 2026) (SEC Accession No. 0001193125-26-

C. The interval-fund channel: Rule 23c-3

An interval fund repurchases through the rulemaking channel of Section 23(c)(3), under Rule 23c-3, which permits a closed-end company to "repurchase common stock of which it is the issuer from the holders of the stock at periodic intervals, pursuant to repurchase offers made to all holders."²⁷ The rule's architecture parallels the tender-offer regime at every load-bearing point.

The **offer amount** is bounded. Rule 23c-3 defines the "repurchase offer amount" as a percentage of outstanding shares that "shall not be less than five percent nor more than twenty-five percent," to be set by the directors before each offer.²⁸ An interval fund may, in principle, commit to repurchase as much as a quarter of its shares each period; every private credit interval fund examined here set the figure at the regulatory floor of 5%.²⁹

The **pre-commitment** is structural. The fund must adopt a "fundamental policy, changeable only by a majority vote of the outstanding voting securities," specifying that it will make repurchase offers at stated intervals.³⁰ Unlike a BDC's board, which may suspend its discretionary repurchase program by its own action, an interval fund's board cannot abandon the repurchase obligation without a shareholder vote; the rule permits suspension or postponement of a particular offer only by a vote of a majority of directors, including a majority of the independent directors, and only on enumerated grounds such as the loss of regulated-investment-company status or a market emergency in which valuation is not reasonably practicable.³¹ The interval fund

051399); Ares Strategic Income Fund, Tender Offer Statement (Schedule TO-I) Ex. (a)(1)(ii) § 1 (Feb. 20, 2026) (SEC Accession No. 0001104659-26-018135).

²⁷ 17 C.F.R. § 270.23c-3(b).

²⁸ 17 C.F.R. § 270.23c-3(a)(3).

²⁹ See *infra* notes 41, 57 and accompanying text.

³⁰ 17 C.F.R. § 270.23c-3(b)(2)(i).

³¹ 17 C.F.R. § 270.23c-3(b)(3)(i) (permitting suspension or postponement only by vote of a majority of directors, including a majority of independent directors, and only on enumerated grounds, including loss of regulated-investment-company status and certain market emergencies).

must also maintain liquidity coverage: from the notification of an offer until the repurchase pricing date, it must hold liquid assets equal to "at least 100 percent of the repurchase offer amount."³²

The **cushion and pro-ration** are, again, symmetric with the tender-offer regime. Rule 23c-3(b)(5) provides: "If security holders tender more than the repurchase offer amount, the company may repurchase an additional amount of stock not to exceed two percent of the common stock outstanding on the repurchase request deadline. If the company determines not to repurchase more than the repurchase offer amount, or if security holders tender stock in an amount exceeding the repurchase offer amount plus two percent . . . the company shall repurchase the shares tendered on a pro rata basis."³³ A fund that has set its offer at the 5% floor may thus repurchase up to 7%; beyond 7%, pro-ration is mandatory. Cliffwater's quarterly notice transcribes the rule almost verbatim: "If shareholders tender for repurchase more than five percent (5%) of the outstanding shares of the Fund, the Fund may, but is not required to, repurchase up to an additional two percent (2%). . . . [O]r if more than seven percent (7%) of the outstanding shares are tendered, then the Fund will repurchase shares on a pro rata basis."³⁴

Finally, the **redeemable-security exemption** captures the interval fund's essential bargain. Rule 23c-3(d) provides that a company making repurchase offers under the rule "shall not be deemed thereby to be an issuer of redeemable securities."³⁵ The interval fund offers periodic liquidity precisely so that it need not offer redemption on demand, and the rule confirms that the offer does not convert its shares into the redeemable securities of an open-end fund.

³²17 C.F.R. § 270.23c-3(b)(10)(i).

³³17 C.F.R. § 270.23c-3(b)(5).

³⁴Cliffwater Corporate Lending Fund, Notification of Periodic Repurchase Offer (Form N-23C3A) § 6 (Feb. 5, 2026) (SEC Accession No. 0001213900-26-012614) [hereinafter Cliffwater Q1 2026 N-23C3A].

³⁵17 C.F.R. § 270.23c-3(d).

D. The symmetry

Set side by side, the two regimes converge on a single number. Whether a fund chose the BDC door or the interval-fund door, the governing arithmetic of a stressed quarter is identical: an offer of 5%, a discretionary ceiling of 7%, and mandatory pro-ration of everything above 7%. The cushion is two percentage points in both regimes—Rule 13e-4(f)(1) for tender offers, Rule 23c-3(b)(5) for interval funds—and in both it is discretionary, a power the fund "may" exercise but need not. The 5% that the industry markets is therefore not the maximum a fund can pay; it is the minimum a fund offers, with a further two points available for the asking and a hard regulatory wall two points above that. The entire taxonomy of the 2026 episode can be read as a set of choices about where to stand relative to that 7% wall, and what to do at it.

III. The Contractual Machinery

If Part II describes the statutory exterior of the gate, this Part describes its contractual interior—the operative terms of the funds' own offering documents, which are remarkably uniform across sponsors and which an investor accepts on subscribing.

A. The 5% offer

The non-traded BDCs state the offer in nearly identical language. BCRED's registration statement is representative: "We have implemented a share repurchase program under which, at the discretion of our Board of Trustees, we may repurchase, in each quarter, up to 5% of the NAV of our Common Shares outstanding (either by number of shares or aggregate NAV) as of the close of the previous calendar quarter."³⁶ Apollo's program "intends to repurchase, in each quarter, up to 5% of the NAV of our Common Shares outstanding . . . as of the close of the previous calendar

³⁶Blackstone Private Credit Fund, Registration Statement (Form N-2) at 16 (May 1, 2026) (SEC Accession No. 0001193125-26-198119) [hereinafter BCRED Form N-2].

quarter."³⁷ Ares offers to repurchase "up to 5% of its Common Shares outstanding . . . in each quarter."³⁸ Barings—which conducts a private, unregistered offering and so states its terms in its periodic reports rather than a prospectus—commits to "offer to repurchase, in each quarter, up to 5% of shares of the Company's common stock outstanding as of the close of the previous calendar quarter."³⁹ Blue Owl's OCIC phrases the same limit from the opposite direction: "We intend to limit the number of shares to be repurchased in each quarter to no more than 5.00% of our outstanding shares of common stock."⁴⁰ The interval funds set the same 5% figure as their Rule 23c-3 repurchase offer amount.⁴¹

B. Net asset value as the price

In every one of these funds the repurchase price is net asset value, struck on a defined valuation date—for the BDCs, "the NAV per share as of the last calendar day of the applicable quarter (the 'Valuation Date')";⁴² for the interval funds, the net asset value determined on a repurchase pricing date set in accordance with Rule 23c-3.⁴³ This is a point of first importance, developed at length in Part VI. Because the shares do not trade, there is no market price; the repurchase price is the fund's own periodic fair-value mark of an illiquid loan portfolio. The

³⁷Apollo Debt Solutions BDC, Prospectus (Form 424B3), "Share Repurchase Program" (Mar. 12, 2026) (SEC Accession No. 0001193125-26-102497) [hereinafter Apollo Form 424B3].

³⁸Ares Strategic Income Fund, Registration Statement (Form N-2/A), "Share Repurchase Program" (Oct. 24, 2025) (SEC Accession No. 0001104659-25-102179) [hereinafter Ares Form N-2/A].

³⁹Barings Private Credit Corporation, Quarterly Report (Form 10-Q), Notes to Financial Statements—"Share Repurchase Program" (May 7, 2026) (SEC Accession No. 0001859919-26-000041) [hereinafter Barings Q1 2026 10-Q]. Barings conducts a private, unregistered continuous offering under Section 4(a)(2) of the Securities Act and Regulation D/S, and so discloses its repurchase terms in its periodic reports rather than a registered prospectus.

⁴⁰Blue Owl Credit Income Corp., Prospectus (Form 424B3), "Share Repurchase Program," at 21 (Apr. 1, 2025) (SEC Accession No. 0001628280-25-010504) [hereinafter OCIC Form 424B3].

⁴¹See Cliffwater Q1 2026 N-23C3A § 1 (offering to repurchase "up to five percent (5%) of its outstanding shares"); Carlyle Tactical Private Credit Fund, Notification of Periodic Repurchase Offer (Form N-23C3A) § 1 (May 27, 2025) (SEC Accession No. 0001140361-25-020446) (offering "up to five percent (5%)").

⁴²BCRED Form N-2, *supra*, at 16–17.

⁴³17 C.F.R. § 270.23c-3(a)(5) (defining "repurchase pricing date"); Cliffwater Q1 2026 N-23C3A §§ 3–4.

investor who redeems is paid not what a buyer would pay for the underlying loans today, but what the fund has determined they are worth as of its most recent valuation.

C. Early repurchase deductions

Most—though notably not all—of the funds discourage short-term redemption through an "early repurchase deduction." BCRED, Apollo, Ares, and Barings each repurchase shares held for less than one year at 98% of net asset value, retaining the 2% "for the benefit of remaining shareholders."⁴⁴ The deduction is a crude anti-dilution device: it makes the quickest movers bear a small charge, and it returns that charge to the fund. It is crude because it keys on holding period rather than on the cost the redemption actually imposes, and because it does nothing at all in a stress quarter as to shares held more than a year—which is to say, as to most of the shares that redeem in a fund that has existed for several years. Blue Owl's OCIC, by contrast, imposes no early repurchase deduction; it repurchases at "the current net offering price per share . . . on the date of such repurchase," full stop.⁴⁵ The variation is worth noting because it means the funds enter a stress quarter with materially different built-in protections for the investors who stay.

D. Pro-ration without priority

When requests exceed the offer, the funds ration pro rata, as Section 23(c) and the repurchase rules require. BCRED's program provides that "[i]n the event the amount of Common Shares tendered exceeds the repurchase offer amount, Common Shares will be repurchased on a pro rata basis," and—critically—"[a]ll unsatisfied repurchase requests must be resubmitted in the

⁴⁴BCRED Form N-2, *supra*, at 17; Apollo Form 424B3, *supra* (98% of NAV for shares outstanding less than one year, the deduction "retained by the Company for the benefit of remaining shareholders"); Ares Form N-2/A, *supra* (2.00% early repurchase deduction); Barings Q1 2026 10-Q, *supra* (same).

⁴⁵OCIC Form 424B3, *supra*, at 21 ("Repurchases of shares will be made at the current net offering price per share for the applicable class of shares on the date of such repurchase."). A full-text review of the OCIC prospectus disclosed no early repurchase deduction.

next quarterly tender offer."⁴⁶ There is no queue and no carry-forward: the offer documents specify that "[t]he unaccepted portion of any tender . . . shall not be automatically carried forward or given priority in connection with any future tender offer."⁴⁷ The investor rationed this quarter starts over next quarter at the back of a line no shorter than before. Blue Owl makes explicit that pro-ration is not a first-mover deterrent—"we will repurchase shares on a pro rata basis, not on a first-come, first-serve basis"⁴⁸—a design choice whose consequences Part VI develops.

Pro-ration converts the gate from a binary into a rationing ratio, and the ratio is what the investor actually experiences. A 5% offer against 11% demand returns roughly 45 cents on each requested dollar; a 5% offer against 41% demand returns roughly 14 cents.⁴⁹ The uniform "5%" in the marketing thus translates into radically different outcomes depending on how oversubscribed the quarter is—a fact the headline figure conceals.

E. Discretion

Finally, and pervasively, the offer is discretionary and revocable. BCRED's board "may amend or suspend the share repurchase program at any time (including to offer to purchase fewer shares)" in its "reasonable judgment," with the result that "share repurchases may not be available each quarter, or may only be available in an amount less than 5%."⁵⁰ Blue Owl states the discretion in the broadest terms: "Our Board has complete discretion to determine whether we will engage in any share repurchase, and if so, the terms of such repurchase," and the fund "may suspend or terminate the share repurchase program at any time."⁵¹ Apollo, revealingly, frames the discretion

⁴⁶BCRED Form N-2, *supra*, at 17.

⁴⁷BCRED Offer to Purchase, *supra*, § 3.

⁴⁸OCIC Form 424B3, *supra* (risk-factor discussion).

⁴⁹*See infra* notes 60, 65 and accompanying text (Apollo's ~45%; OTIC's ~14%).

⁵⁰BCRED Form N-2, *supra*, at 16.

⁵¹OCIC Form 424B3, *supra*, at 21.

as a fiduciary one: its board "may amend or suspend the share repurchase program . . . in accordance with our Board's fiduciary duty to the Company and the shareholders . . . during periods of market dislocation where selling assets to fund a repurchase could have a materially negative impact on remaining shareholders," and "will reinstate the share repurchase program when appropriate and subject to its fiduciary duty."⁵² That framing—the board's repurchase discretion as an exercise of fiduciary judgment balancing redeeming against remaining investors—is the doctrinal pivot to which Part VII returns.

IV. A Taxonomy of the 2026 Responses

Against that architecture, the first-quarter behavior of the major funds sorts into five strategies, distinguished by where each fund stood relative to the 7% ceiling and what it was willing to do at the wall.

A. Backstop past the ceiling: BCRED

BCRED took the most aggressive pro-investor posture, and it is the clearest instance of the phenomenon this Note examines. Its Q1 2026 tender drew requests exceeding the standard 5%. The board first did the ordinary thing, enlarging the offer to 7%—the Rule 13e-4(f)(1) maximum. It then did the extraordinary thing, disclosed in an amendment to the tender offer statement: "In addition to the nearly \$2 billion of new subscriptions, Blackstone employees invested approximately \$150 million and the firm invested approximately \$250 million into an existing BCRED feeder fund, on the same terms as all other investors, representing approximately 0.9% of BCRED's shares outstanding. These investments offset the repurchase amount requested from the feeder fund. This enabled BCRED to meet 100% of requests for the quarter with certainty and

⁵²Apollo Form 424B3, *supra* (Risk Factors / Share Repurchase Program discussion).

timeliness."⁵³ The financial statements record the result: 133,689,552 shares repurchased, equal to 7.0% of shares outstanding, at \$24.19 per share, for approximately \$3.23 billion, with the notation that "[a]ll repurchase requests were satisfied in full."⁵⁴

The mechanics deserve precision, because they bear on the affiliate-transaction analysis in Part VII. The 7% came from the regulatory cushion. The remaining roughly 0.9% needed to reach 100% did not come from BCRED itself repurchasing more shares; it came from Blackstone and its employees subscribing new capital into a feeder fund that holds BCRED shares, which reduced that feeder's own need to tender. The support thus operated one level up from the fund, on the same terms available to any investor, and it reduced rather than enlarged the demand pressing on BCRED's repurchase offer. Blackstone characterized the move as structural rather than defensive: "This approach was driven by the tender offer structure, not by any constraints on BCRED's liquidity."⁵⁵ However described, its economic substance was sponsor capital deployed to carry redemptions past the point the fund's own program could reach. To gauge the magnitude of the spike, BCRED had repurchased just 1.5% of its shares in the comparable quarter a year earlier.⁵⁶

B. Buffer to the maximum: Cliffwater

Cliffwater Corporate Lending Fund, an interval fund with more than \$32 billion in net assets, used the full regulatory cushion but did not add sponsor capital. Its Q1 2026 offer was set at the 5% floor; against reported demand near 14% of shares, it repurchased the structural maximum of 7% of its shares—approximately \$2.34 billion, at a net asset value of \$10.52 per

⁵³BCRED Q1 2026 TO-I/A, *supra*, Item 5(e).

⁵⁴Blackstone Private Credit Fund, Prospectus (Form 424B3), Note 9 ("Net Assets") (May 21, 2026) (SEC Accession No. 0001193125-26-234403) [hereinafter BCRED Q1 2026 424B3] (recording 133,689,552 shares repurchased, 7.0% of outstanding, at \$24.19 per share, approximately \$3,232,786 thousand, and stating "All repurchase requests were satisfied in full").

⁵⁵BCRED Q1 2026 TO-I/A, *supra*, Item 5(e).

⁵⁶BCRED Q1 2026 424B3, *supra*, Note 9 (23,024,370 shares, approximately 1.5% of outstanding, repurchased in the quarter ended Mar. 31, 2025).

share—and prorated the remainder, exactly as its notice required when "more than seven percent (7%) of the outstanding shares are tendered."⁵⁷ Cliffwater thus honored more than its 5% offer, but only to the line the rule draws without cost; it did not cross into sponsor support. It was reported to have sold roughly \$1 billion of loan assets to meet the demand.⁵⁸ The 7% repurchase is confirmed in the fund's annual report; the figure for shares *tendered*—reported in the financial press at roughly 14%—reflects demand well in excess of that ceiling.⁵⁹

C. Hold the offer and pro-rate: Apollo, Ares, Barings, and the Blue Owl pair

The modal response was to hold the offer at exactly 5% and ration. Three sponsors did so in nearly identical terms in the March 2026 quarter, and the convergence of their outcomes is striking. Apollo received requests for about 11.2% of shares and announced it would "honor redemption requests for 5%," pro-rating so that "each redeeming investor will be returned approximately 45% of their requested capital," and adding that it intended "to tender for up to 5% of the Fund's outstanding shares once again next quarter."⁶⁰ Ares received tenders of 45,301,737 shares and accepted 19,526,058—its 5% offer—"on a pro rata basis . . . representing 43.1% of the Shares of the Fund that were validly tendered," paying approximately \$523.5 million against an

⁵⁷For the offer terms (5% offer amount, additional up to 2%, pro-ratio above 7%), Cliffwater Q1 2026 N-23C3A § 6. For the result, Cliffwater Corporate Lending Fund, Annual Report (Form N-CSR), for the fiscal year ended Mar. 31, 2026 (filed June 8, 2026) (SEC Accession No. 0001213900-26-066324) [hereinafter Cliffwater FY2026 N-CSR] (recording, for the offer with a March 10, 2026 repurchase pricing date, repurchases of 7.00% of outstanding shares, approximately \$2,344,027,419, at a net asset value of \$10.52 per share). The repurchased figure is primary; the reported figure for shares *tendered* (approximately 13.9–14%) is from trade-press reporting, *see* Reuters, *Redemption Requests at Cliffwater Private Credit Fund Total 14% of Shares in Q1* (Mar. 12, 2026), and Bloomberg (Mar. 10, 2026), and is cited as such.

⁵⁸Reuters, *supra* note 57.

⁵⁹17 C.F.R. § 270.23c-3(b)(2)(ii) (annual-report disclosure of repurchase-offer results); Cliffwater FY2026 N-CSR, *supra* (reporting the 7.00% repurchased). The fund's three earlier offers in the same fiscal year cleared at 3.42% (June 2025), 2.90% (September 2025), and 5.32% (December 2025) of shares; the March 2026 offer was the only one of the year to reach the 7% ceiling. The figure for shares tendered in the March 2026 offer (approximately 14%) is drawn from contemporaneous market reporting rather than the N-CSR, which discloses the amount repurchased.

⁶⁰Apollo Q1 2026 8-K, *supra*, Item 7.01.

aggregate tendered net asset value of about \$1.22 billion.⁶¹ Barings accepted its 5% offer and disclosed that, "[d]ue to the oversubscription of the March 2026 Tender Offer, the Company accepted for purchase on a pro rata basis approximately 44.3% of the shares that were validly tendered."⁶²

That all three clustered near 43–45% reflects a shared baseline: each had satisfied its tender *in full* only one quarter earlier, in December 2025, before the cap began to bind. Ares accepted 100% of its December tender; Barings likewise accepted 100% of validly tendered shares.⁶³ The first quarter of 2026 was the inflection at which the gate ceased to be theoretical.

Blue Owl held two non-traded BDCs at 5% against far heavier demand. OCIC "received an estimated total repurchase request of 21.9% of shares outstanding . . . and will fulfill its tender offer of 5%, on a pro rata basis representing approximately 23% of total shares tendered."⁶⁴ OTIC "received an estimated amount of 40.7% in total tender requests and will fulfill its tender offer of 5% of shares outstanding . . . on a pro rata basis"—approximately 14% of tendered shares.⁶⁵ In each case Blue Owl cast the decision in the vocabulary of intergenerational fairness, describing the 5% fulfillment as made "in accordance with the fund structure, reflecting our commitment to balancing the interests of both tendering and remaining shareholders."⁶⁶ That same sponsor had,

⁶¹Ares Strategic Income Fund, Final Amendment to Tender Offer Statement (Schedule TO-I/A) (Mar. 27, 2026) (SEC Accession No. 0001104659-26-036088) (45,301,737 shares tendered; 19,526,058 accepted, 43.1% of tendered; aggregate tendered NAV \$1,216,805,150; \$523,526,637 paid; \$26.86 per share).

⁶²Barings Q1 2026 10-Q, *supra*, MD&A ("Issuer Purchases of Equity Securities") (6,974,335 shares repurchased at \$20.04 per share, approximately \$139.7 million; 44.3% of validly tendered shares accepted on a pro rata basis).

⁶³Ares Strategic Income Fund, Final Amendment to Tender Offer Statement (Schedule TO-I/A) (Dec. 29, 2025) (SEC Accession No. 0001104659-25-124880) (accepting 100% of tendered shares); Barings Private Credit Corporation, Annual Report (Form 10-K) (Feb. 19, 2026) (SEC Accession No. 0001859919-26-000022) (accepting 100% of validly tendered shares in the December 2025 tender).

⁶⁴Blue Owl Credit Income Corp., Current Report (Form 8-K) Ex. 99.1 (Apr. 2, 2026) (SEC Accession No. 0001193125-26-139036) [hereinafter OCIC Q1 2026 8-K].

⁶⁵Blue Owl Technology Income Corp., Current Report (Form 8-K) Ex. 99.2 (Tender Offer FAQ) (Apr. 2, 2026) (SEC Accession No. 0001193125-26-139035) [hereinafter OTIC Q1 2026 8-K].

⁶⁶OCIC Q1 2026 8-K, *supra*, Ex. 99.1; *accord* OTIC Q1 2026 8-K, *supra*, Ex. 99.1.

in the prior quarter, granted OTIC "a one time increase to accept 15.4% of shares"⁶⁷—a reminder that the discretion runs in both directions, and that a fund's restraint in one quarter is consistent with generosity in another.

D. Terminate the window: OBDC II

The most drastic response was to stop offering quarterly liquidity altogether. On February 18, 2026, the board of OBDC II approved a plan to wind down the redemption mechanism and replace it with discretionary distributions. The fund "intends to prioritize additional return of capital distributions to its shareholders on a quarterly basis, which are intended to replace quarterly tender offers and may be funded by repayments, proceeds from the sale of assets or strategic transactions."⁶⁸ The accompanying press release made the substitution explicit: "Going forward, the OBDC II Board intends to prioritize delivering liquidity ratably to all shareholders through quarterly return of capital distributions, which are intended to replace future quarterly tender offers."⁶⁹ The first such distribution—funded by selling roughly a third of the fund's investment commitments to institutional buyers as part of a \$1.4 billion cross-fund sale—was sized at "up to approximately 30% of the net asset value," which the fund noted was "six times the size of the 5% tender offer previously planned for the quarter."⁷⁰

OBDC II is the negative image of BCRED. BCRED used sponsor capital to honor every investor's request in full; OBDC II abandoned the request mechanism and substituted a ratable return of capital paid to all holders, redeeming or not. Both can be described as "delivering liquidity," but they distribute it on opposite principles—demand-driven versus ratable—and they

⁶⁷OTIC Q1 2026 8-K, *supra*, Ex. 99.1.

⁶⁸OBDC II 8-K, *supra*, Item 8.01.

⁶⁹*Id.* Ex. 99.1 (press release).

⁷⁰*Id.* Item 2.01 & Ex. 99.1 (subject portfolios representing 33.8% of total investment commitments; aggregate cross-fund sale of \$1.4 billion as of Feb. 12, 2026; distribution of up to approximately 30% of net asset value, "six times the size of the 5% tender offer previously planned for the quarter").

treat the contractual repurchase right in opposite ways. BCRED over-performed the right; OBDC II extinguished it, replacing a structure under which investors elect to exit with one under which the board decides how much capital to return and to whom.

E. The reversion: BCRED in Q2

The decisive data point is what BCRED did next. In the second quarter of 2026, facing demand of "approximately 10% of shares outstanding"—higher than the quarter in which it had honored everyone—the same board declined to enlarge its offer. BCRED told investors that "as designed, BCRED will fulfill repurchase requests representing 5% of shares outstanding," with the excess prorated.⁷¹ No enlargement to 7%; no sponsor backstop. The fund that had been the industry's exemplar of over-honoring reverted within a single quarter to the bare contractual minimum, and it described the reversion not as a retreat but as the design operating as intended. That characterization is correct, and it is the point: the Q1 generosity was never a feature of the instrument. It was an exercise of discretion, available and withdrawable, and BCRED withdrew it as soon as the cost of continuing outweighed the reputational benefit of having signaled once.

F. The spectrum

The five strategies form a spectrum defined by the 7% ceiling. At one end, OBDC II refused to honor redemptions through the repurchase mechanism at all. Next, the modal funds honored the 5% offer and prorated. Cliffwater honored the 7% maximum the cushion allows. BCRED honored 100% by spending past the ceiling. And BCRED's own Q2 reversion shows that a fund's position on the spectrum is not fixed by its structure but chosen, quarter by quarter, by a board exercising discretion. The remainder of this Note asks what to make of the choices clustered at the generous end—the funds that honored more than the maximum—through three lenses.

⁷¹BCRED Q2 2026 Update, *supra*.

V. The First Problem: The Implicit Guarantee

A. Sponsor support and the money-market precedent

Strip away the wrapper and BCRED's first-quarter maneuver is immediately recognizable.

A fund sponsor used capital associated with its own enterprise to deliver investor liquidity that the fund's assets could not provide on the promised terms. That is sponsor support, and its canonical home is the money market fund.

For decades, money-market sponsors quietly propped up their funds—purchasing distressed paper out of the portfolio, or otherwise injecting value—to preserve the stable \$1.00 net asset value on which the product's appeal depended. The support was discretionary, voluntary, and usually invisible to investors in real time. Moody's, surveying the practice after the 2008 crisis, identified on the order of 150 money market funds that would have "broken the buck" but for sponsor intervention over the roughly three decades preceding mid-2007.⁷² The federal securities laws neither required this support nor forbade it; what they did, through Rule 17a-9, was *remove an obstacle* to it. Because a sponsor's purchase of a security from its own fund is a transaction between the fund and an affiliate, it would ordinarily be barred by Section 17(a) of the Investment Company Act. Rule 17a-9 exempts such a purchase from that prohibition, subject to conditions: the affiliate must pay cash, at a price equal to "the greater of the amortized cost of the security or its market price," and for securities that have not actually defaulted the affiliate must remit to the fund any profit if it later resells at a gain.⁷³ The rule is a permission, not a mandate. There is no federal rule requiring a money-market sponsor to support its fund.

⁷²Moody's Investors Service, *Sponsor Support Key to Money Market Funds* (Special Comment, Aug. 9, 2010). The precise count varies by definition and date window; Moody's identified on the order of 146 funds supported through mid-2007, and derivative scholarship counts roughly 200 instances of support from 1980 through 2009. The figure is cited as illustrative of the practice's scale, not as a precise integer.

⁷³17 C.F.R. § 270.17a-9 (exempting an affiliate's purchase of a portfolio security from a money market fund from Section 17(a), provided the affiliate pays cash at a price equal to the greater of amortized cost or market price, with a profit clawback for securities that have not defaulted). Rule 17a-9 was adopted in its modern form in the 2010 money

The fragility of a regime resting on discretionary support became apparent in September 2008. When the Reserve Primary Fund's holdings of Lehman Brothers commercial paper were rendered nearly worthless by Lehman's bankruptcy, the fund's sponsor did not—and could not—make the fund whole; the fund "broke the buck," repricing below \$1.00, and a general run on prime money market funds followed that the Treasury arrested only by guaranteeing the industry.⁷⁴ The episode taught regulators that an implicit guarantee resting on sponsor discretion is worth precisely nothing in the state of the world where it is most needed: the moment when a sponsor cannot or will not pay is the moment of system-wide stress, which is the same moment investors most want out.

B. The regulatory turn against discretionary support

The money-market reforms that followed can be read as a sustained effort to replace opaque, discretionary, sponsor-funded rescue with transparent, rules-based, pre-committed loss allocation. The 2010 reforms imposed the first explicit portfolio-liquidity minimums and adopted Rule 22e-3, which permits a fund to suspend redemptions—but, tellingly, only as a one-way door to an orderly liquidation, available only after the board "irrevocably has approved the liquidation of the fund."⁷⁵ The 2014 reforms required institutional prime and institutional tax-exempt funds to float their net asset values, and equipped boards with discretionary liquidity fees and redemption

market fund reforms. *See* Money Market Fund Reform, Investment Company Act Release No. IC-29132, 75 Fed. Reg. 10060 (Mar. 4, 2010).

⁷⁴*See* President's Working Group on Financial Markets, *Report on Money Market Fund Reform Options* (Oct. 2010); SEC v. Reserve Management Co. (related enforcement proceedings). The Reserve Primary Fund announced on September 16, 2008 that its net asset value had fallen below \$1.00 following the September 15, 2008 Lehman Brothers bankruptcy.

⁷⁵17 C.F.R. § 270.22e-3(a)(2) (suspension available where the board, including a majority of independent directors, "irrevocably has approved the liquidation of the fund"); *see* Money Market Fund Reform, Investment Company Act Release No. IC-29132, 75 Fed. Reg. 10060 (Mar. 4, 2010).

gates tied to a fund's weekly-liquid-asset levels.⁷⁶ The 2023 reforms then reversed course on the discretionary tools the 2014 rules had created: they *removed* the redemption-gate provisions entirely, severed the tie between fees and liquidity thresholds, and imposed instead a *mandatory* liquidity fee on institutional prime and institutional tax-exempt funds, triggered not by a liquidity level but by net redemptions—specifically, when "total daily net redemptions . . . exceed five percent of the fund's net assets," the fund "must apply a liquidity fee."⁷⁷ The through-line across all three reforms is a regulatory preference for mechanisms that make redeeming investors bear their own liquidity costs by rule, and a corresponding suspicion of mechanisms that depend on a sponsor's discretionary willingness to spend.

C. BREIT: the immediate precedent

Private credit did not write on a blank slate. The template was set in real estate three years earlier, by the same sponsor. In late 2022, Blackstone's non-traded real estate trust, BREIT, hit the limits of its share repurchase plan—2% of net asset value per month and 5% per quarter—as redemption requests surged, and it prorated.⁷⁸ The proration was not a brief episode: BREIT continued to limit repurchases for roughly fifteen consecutive months, first lifting the limits in February 2024.⁷⁹ BREIT did not honor more than its caps. What it did instead, in January 2023,

⁷⁶Money Market Fund Reform; Amendments to Form PF, Investment Company Act Release No. IC-31166, 79 Fed. Reg. 47736 (Aug. 14, 2014) (floating NAV for institutional prime and institutional tax-exempt funds; discretionary liquidity fees and redemption gates tied to weekly-liquid-asset levels).

⁷⁷Money Market Fund Reforms, Investment Company Act Release No. IC-34959, 88 Fed. Reg. 51404 (Aug. 3, 2023); 17 C.F.R. § 270.2a-7(c)(2)(ii) (mandatory liquidity fee for institutional prime and institutional tax-exempt funds where "total daily net redemptions . . . exceed five percent of the fund's net assets"). The 2023 reforms removed the redemption-gate provisions adopted in 2014 and raised the daily and weekly liquid-asset minimums.

⁷⁸BREIT's share repurchase plan limited repurchases to 2% of net asset value in any month and 5% in any calendar quarter. *See* Blackstone Real Estate Income Trust, Inc. repurchase-plan disclosures (figures confirmed against BREIT's own filings).

⁷⁹BREIT began prorating repurchase requests in late 2022 (its first proration letter is dated December 1, 2022) and continued to limit repurchases for approximately fifteen consecutive months, first satisfying repurchase requests in full again in February 2024. *See* contemporaneous reporting (PERE; InvestmentNews). These timeline facts are drawn from trade-press reporting.

was secure a \$4 billion anchor investment from the University of California's investment office, on terms under which Blackstone backstopped roughly \$1 billion of its own BREIT holdings to support a minimum 11.25% annualized net return to the University over a six-year hold; the University later added \$500 million, bringing the total to \$4.5 billion.⁸⁰ That was sponsor support of a different shape—an outside anchor secured by a sponsor guarantee, rather than a balance-sheet purchase—but it belonged to the same family: a discretionary, sponsor-arranged confidence measure deployed to stem a run on a semi-liquid retail vehicle. BREIT taught the market that Blackstone would manage these episodes actively rather than let the gate simply bind. BCRED's first-quarter backstop applied the lesson to credit; BCRED's second-quarter reversion was the reminder that active management is not the same thing as a promise.

D. Why a discretionary guarantee is the problem

The trouble with discretionary sponsor support is not that it fails in the moment; it usually succeeds. The trouble is what it teaches. When a marquee sponsor honors 100% of requests and frames the result as routine—"as we have done every quarter since inception"⁸¹—investors and the advisors who sell to them rationally update toward a belief that the 5% cap is a formality and that redemptions will, in practice, be met. That belief is an implicit guarantee, and it is worth less than a contractual guarantee in exactly the states of the world where it matters, because it is contingent on the sponsor's continuing willingness to spend.

The 2026 sequence supplies the proof. BCRED honored 100% in the first quarter and 5% in the second, on comparable demand, because the cost-benefit calculus changed, or simply

⁸⁰Press Release, Blackstone, University of California Investments and Blackstone Announce Strategic Venture (Jan. 3, 2023) (UC Investments' \$4 billion investment in BREIT Class I shares; Blackstone contributing approximately \$1 billion of its BREIT holdings to support a minimum 11.25% annualized net return over a six-year hold, with a 5% cash promote above the minimum); UC Investments later added \$500 million, bringing the total to \$4.5 billion. The structure is drawn from the parties' announcement.

⁸¹BCRED Q1 2026 TO-I/A, *supra*, Item 5(e).

because the firm judged that one quarter of signaling sufficed.⁸² An investor who inferred a standing commitment from the first-quarter behavior learned of its contingency precisely when conditions failed to improve. And the contingency is correlated in the worst way: a sponsor is least able and least willing to backstop redemptions when its funds are under broad stress, which is the same moment its investors most want to leave. Discretionary support is, in this sense, pro-cyclical insurance—present in mild stress, absent in severe stress—which is close to the opposite of what a liquidity backstop should be.

There is also a competitive externality. Once one prominent sponsor honors more than its cap, the act reprices the restraint of every other sponsor. Apollo, Ares, Barings, and Blue Owl each held the gate at 5% and prorated—the behavior the contract contemplates and the antidiscrimination structure of Section 23(c) presupposes—yet against BCRED's 100%, their discipline read as weakness, and the press covered it as such.⁸³ The episode thus pressures every sponsor to match the backstop or absorb a reputational penalty for adhering to its own offering documents. A dynamic in which prudent adherence to disclosed terms is punished and discretionary rescue is rewarded is the same moral-hazard gradient that money-market reform spent fifteen years trying to flatten.

The 1940 Act framework leaves room for support but channels it. As Part VII explains, an affiliate's purchase of the fund's *own* securities on the same terms as other investors—the channel BCRED used—falls within an express carve-out from the affiliated-transaction prohibitions, which is why sponsors may invest alongside their investors at all. But the very permissibility of the channel is what makes the implicit-guarantee problem a matter for disclosure and governance

⁸²See BCRED Q2 2026 Update, *supra* (noting that in the first quarter "the Board increased the repurchase cap above the 5% level to fulfill all requests at 7%," whereas in the second quarter "as designed, BCRED will fulfill repurchase requests representing 5% of shares outstanding").

⁸³See Son, *supra* note 4.

rather than prohibition: the law allows the support, so the law's remaining work is to ensure that investors understand its discretionary character rather than mistaking a reputational practice for a structural promise.

VI. The Second Problem: First-Mover Advantage and Investor Dilution

A. The price is a mark, not a market

The first lens brackets the question of price; the second makes it central. In every fund examined here, redemptions are honored at net asset value struck on a periodic valuation date.⁸⁴ Net asset value is not a market price. It is the fund's own fair-value estimate of a portfolio of privately negotiated loans that do not trade, produced under the fund's valuation policies and used simultaneously to price subscriptions, to price redemptions, and to compute the management fee. In stress, such marks are widely believed to lag the deterioration in underlying value. The most direct evidence in the 2026 episode was the gap between the prices at which the funds repurchased—reported net asset value—and the discounts at which their shares, or comparable listed BDCs, changed hands in the market.⁸⁵ A litigation-risk analysis of the episode put the structural point plainly: "investors who redeem during a period of stress may do so at a value that does not reflect actual market conditions," creating "a structural advantage for investors who redeem ahead of a valuation cycle and a corresponding disadvantage for those who remain."⁸⁶

B. Redemption at a stale mark transfers value

If a fund's net asset value is stale on the high side, then every share the fund repurchases at that value is bought at a premium to its true worth, and the premium is paid out of the assets that belong to the investors who do not redeem. Redemption at a stale mark is, in substance, a wealth

⁸⁴See *supra* notes 42–43 and accompanying text.

⁸⁵See Mercer Capital, *supra* note 8.

⁸⁶Quinn Emanuel Alert, *supra* note 12.

transfer from those who stay to those who leave. This is the same first-mover dynamic that animates run theory in open-end mutual funds, where a redeeming shareholder who is cashed out at an unadjusted net asset value imposes the transaction and liquidation costs of her exit on the shareholders who remain.⁸⁷ The federal response in the open-end context has been to develop anti-dilution tools that make the redeeming investor internalize that cost. The Commission adopted a permissive swing-pricing rule for open-end funds in 2016, allowing a fund to adjust its net asset value by a "swing factor" to pass liquidity costs to transacting shareholders—a tool that has gone essentially unused.⁸⁸ In 2022 it proposed to make swing pricing mandatory and to impose a "hard close" on fund orders.⁸⁹ But that proposal was not adopted: in August 2024 the Commission finalized only the associated reporting amendments and liquidity guidance, leaving mandatory swing pricing and the hard close unadopted; the rulemaking was subsequently dropped from the Commission's regulatory agenda in 2025, and as of June 2026 the Commission has neither adopted a mandatory anti-dilution mechanism for open-end funds nor formally withdrawn the proposal.⁹⁰ The point for present purposes is not that any particular tool should be borrowed wholesale, but that the dilution problem the open-end rules grapple with is present in acute form in the private credit wrappers, which pay leavers at full net asset value and impose the dilution on stayers,

⁸⁷The dilution that redeeming open-end fund shareholders impose on remaining shareholders is the animating concern of the Commission's liquidity and swing-pricing rulemakings. *See* Investment Company Liquidity Risk Management Programs, Investment Company Act Release No. IC-32315, 81 Fed. Reg. 82142 (Nov. 18, 2016).

⁸⁸Investment Company Swing Pricing, Investment Company Act Release No. IC-32316, 81 Fed. Reg. 82084 (Nov. 18, 2016) (adopting permissive swing pricing as 17 C.F.R. § 270.22c-1(a)(3), with a swing factor capped at 2% of net asset value per share). Swing pricing was adopted as optional and has been essentially unused by U.S. open-end funds.

⁸⁹Open-End Fund Liquidity Risk Management Programs and Swing Pricing; Form N-PORT Reporting, Investment Company Act Release No. IC-34746, 87 Fed. Reg. 77172 (Dec. 16, 2022) (proposing mandatory swing pricing and a "hard close").

⁹⁰Form N-PORT and Form N-CEN Reporting; Guidance on Open-End Fund Liquidity Risk Management Programs, Investment Company Act Release No. IC-35308 (Aug. 28, 2024) (adopting reporting amendments and liquidity guidance, but not the proposed mandatory swing pricing or hard close). The broader rulemaking (RIN 3235-AM98) was dropped from the Commission's entry in the Unified Agenda of Regulatory and Deregulatory Actions beginning with the Spring 2025 agenda; as of the date of this draft it has been neither re-proposed nor formally withdrawn, and the Commission has not adopted a mandatory swing-pricing or anti-dilution mechanism for open-end funds.

mitigated only by the crude and holding-period-limited early repurchase deduction described above.

C. Why over-honoring can deepen the transfer

Here the two lenses cut against each other, and the tension is the least intuitive point in this Note. From the standpoint of the first lens, honoring more than the cap looks stabilizing and generous. From the standpoint of the second, honoring more than the cap can *enlarge* the transfer from stayers to leavers. If the quarterly mark is too high, then the gate—by limiting repurchases to 5%—incidentally limits the quantity of value that can leak out to first movers at an inflated price. Enlarging the offer to 7%, or backstopping to 100%, lets more shares exit at the possibly-inflated mark, and so increases the loss imposed on those who remain.

The pro-ration mechanics sharpen the point. Because every fund rations pro rata rather than first-come-first-served, and because unsatisfied requests carry no priority into the next quarter, the gate does not in fact reward the fastest investor; it rewards the investor who keeps re-tendering, quarter after quarter, until the marks catch up to reality.⁹¹ The advantage in these funds is less a first-mover advantage than a persistent-mover advantage. Over-honoring shortens the line for the persistent movers and accelerates their exit at the stale price. A sponsor that backstops to 100% is, on this view, not protecting the fund's remaining investors; it is financing the exit of the leavers at the remainers' expense—using, in BCRED's case, fresh sponsor capital that offsets the demand, but in the ordinary case using the fund's own assets, sold to raise cash.

None of this implies that gating is costless to those who remain. Gating traps them too, in an illiquid position they may also wish to leave, and it does so at a moment when the option to exit is most valuable. The point is narrower and is easily missed: the reflexive equation of "more

⁹¹See *supra* notes 46–48 and accompanying text.

redemptions honored" with "better for investors" is wrong as a matter of distribution. Whether over-honoring helps or harms the investors who remain depends entirely on whether the net asset value at which the leavers are cashed out is fair. If it is fair, over-honoring is a clean liquidity transfer, financed in BCRED's case by the sponsor. If it is high, over-honoring is a transfer from the loyal to the fleeing, dressed as generosity—and the parties best positioned to know which world they are in are the sponsor and the board that set the marks, the same parties deciding how much to honor.

That convergence of valuation discretion and redemption discretion in the same conflicted hands is the bridge to the third lens. The board that decides whether to waive the gate is, in these funds, closely tied to the adviser that produces the net asset value at which the gate is waived; the adviser's fee is charged on that value; and the cost of an overstated value falls on a diffuse, non-redeeming, and voiceless shareholder base. The question the next Part asks is what the law demands of a fiduciary exercising both discretions at once.

VII. The Third Problem: Contract, Discretion, and Fiduciary Duty

A. The gate is a contract term; its exercise is a fiduciary act

The redemption limit is, in the first instance, a term of the bargain. The investor purchased shares whose offering documents said "up to 5%," "may amend or suspend," "complete discretion," and "pro rata." An investor rationed to 45% this quarter, or gated out when OBDC II closed its window, received what the contract promised: a discretionary and capped repurchase right, not a redemption right. The interval-fund investor's position is clearer still, because Rule 23c-3 expressly denies that the shares are redeemable securities.⁹² On the four corners of the

⁹²17 C.F.R. § 270.23c-3(d).

documents, the funds that held at 5% and prorated did nothing wrong, and the fund that closed its window did nothing the documents forbade.

But the documents do not run themselves. Each quarter, someone must decide whether to hold at 5%, exercise the cushion to 7%, spend to reach 100%, or terminate the program; and that someone is the board, exercising a discretion the contract confers. The exercise of contractual discretion by a fiduciary is itself subject to fiduciary constraint. This is the fault line the 2026 episode exposes: the *existence* of the gate is a matter of contract, but each *decision* to set, waive, or enforce it is a matter of fiduciary law. The funds say as much. Apollo's prospectus, quoted above, frames the suspension power on its face as an exercise of "our Board's fiduciary duty to the Company and the shareholders."⁹³

B. Entity law decides how demanding the duty is

What that fiduciary duty requires depends on an entity-law question the uniform marketing conceals: these funds are organized under different state laws, with materially different fiduciary baselines.

Several of the BDCs—BCRED, Apollo, and Ares—are **Delaware statutory trusts**, governed by the Delaware Statutory Trust Act and their own governing instruments. That Act is radically contractarian. It provides that, "[t]o the extent that, at law or in equity, a trustee or beneficial owner or other person has duties (including fiduciary duties) . . . the trustee's or beneficial owner's or other person's duties may be expanded or restricted or eliminated by provisions in the governing instrument; provided, that the governing instrument may not eliminate the implied contractual covenant of good faith and fair dealing."⁹⁴ For such a vehicle, the classical

⁹³Apollo Form 424B3, *supra*.

⁹⁴12 Del. C. § 3806(c).

duties of care and loyalty may be substantially modified or eliminated by the trust agreement, and the one mandatory backstop on a board that holds or waives a gate is the implied covenant of good faith and fair dealing, which cannot be eliminated.

Others—Blue Owl's OCIC and Barings's BPCC—are **Maryland corporations**, and Maryland law supplies a different and notably management-protective baseline. Maryland codifies the standard of conduct for a director as the obligation to act "[i]n good faith," "[i]n a manner the director reasonably believes to be in the best interests of the corporation," and "[w]ith the care that an ordinarily prudent person in a like position would use under similar circumstances."⁹⁵ It then provides that "[a]n act of a director . . . is presumed to be in accordance with" that standard,⁹⁶ that no act of a director—including in a control transaction or "any other transaction"—"may . . . be subject to a higher duty or greater scrutiny than is applied to any other act of a director,"⁹⁷ and that the section "[i]s the sole source of duties of a director."⁹⁸ The Supreme Court of Maryland recently reaffirmed that Section 2-405.1 is the sole source of a director's duties.⁹⁹ Maryland thus does not apply the Delaware-style entire-fairness review or the Unocal/Revlon enhanced scrutiny that a conflicted or defensive board action might attract in Delaware; a Maryland-incorporated fund's board that holds the gate at 5% and prorates, reciting that it is "balancing the interests of both tendering and remaining shareholders,"¹⁰⁰ sits comfortably within a statutory business-judgment presumption.

⁹⁵Md. Code Ann., Corps. & Ass'ns § 2-405.1(c).

⁹⁶*Id.* § 2-405.1(g).

⁹⁷*Id.* § 2-405.1(h).

⁹⁸*Id.* § 2-405.1(i)(1).

⁹⁹*Eastland Food Corp. v. Mekhaya*, 486 Md. 1, 301 A.3d 308 (2023) (slip op. at 16) (reaffirming that "section 2-405.1 is the 'sole source' of directors' duties to the corporation and its stockholders").

¹⁰⁰OCIC Q1 2026 8-K, *supra*, Ex. 99.1.

The upshot is a doctrinal asymmetry worth flagging for any plaintiff or regulator. The most promising challenges to a redemption decision will rarely sound in classical fiduciary duty, which the governing instruments of the Delaware trusts have largely waived and which Maryland law has substantially defused. They will sound instead in the implied covenant—for the Delaware statutory trusts—or in federal disclosure law, for everyone.

C. The implied covenant applied

For the Delaware statutory trust BDCs, the implied covenant is the operative constraint, and its contours are precise. The covenant is a cautious, gap-filling doctrine. It applies only where the governing instrument is silent on the disputed point, asks what the parties would have agreed to had they considered the issue at the time of contracting, and serves to protect the fruits of the bargain.¹⁰¹ It "cannot be invoked to override the exercise of an express contractual right,"¹⁰² is not a vehicle for rebalancing a deal a party later regrets,¹⁰³ and—uniquely—cannot be waived, surviving even a contractual elimination of all default fiduciary duties.¹⁰⁴

For the redemption question, the most instructive authority is *Nemec v. Shrader*, in which the Delaware Supreme Court declined to use the implied covenant to disturb a company's exercise of an express contractual right to redeem retired employees' shares at a formula price, even though the timing of the redemption favored the company over the redeemed holders.¹⁰⁵ The lesson

¹⁰¹*Dunlap v. State Farm Fire & Cas. Co.*, 878 A.2d 434, 441–42 (Del. 2005) (the implied covenant is a gap-filler that asks what the parties would have agreed to had they considered the issue at the time of contracting).

¹⁰²*Nemec v. Shrader*, 991 A.2d 1120, 1125–26 (Del. 2010).

¹⁰³*Oxbow Carbon & Minerals Holdings, Inc. v. Crestview-Oxbow Acquisition, LLC*, 202 A.3d 482, 504–07 (Del. 2019) (the implied covenant is "a limited and extraordinary remedy" that may not be used to rewrite express terms or to supply a gap that does not exist).

¹⁰⁴12 Del. C. § 3806(c) (governing instrument "may not eliminate the implied contractual covenant of good faith and fair dealing"); *cf.* *Gerber v. Enterprise Products Holdings, LLC*, 67 A.3d 400 (Del. 2013), overruled in part on other grounds by *Brinckerhoff v. Enbridge Energy Co.*, 159 A.3d 242 (Del. 2017) (recognizing that the implied covenant may persist notwithstanding a contractual good-faith presumption).

¹⁰⁵*Nemec*, 991 A.2d at 1123–28 (declining to apply the implied covenant to disturb the company's exercise of an express right to redeem retired stockholders' shares, even where the timing favored the company).

translates directly: a fund's decision to hold its offer at the contractually specified 5% and to prorate, exactly as the offering documents provide, is the exercise of an express right and is not vulnerable to an implied-covenant attack merely because it disadvantages the investors who wished to exit. The express terms occupy the field. Where the implied covenant retains force is in the *gaps*—in the exercise of the open-ended discretions the documents confer without specifying how they are to be used. When a board chooses, in a given quarter, whether to enlarge the offer, whether to deploy or accept sponsor support, and how to weigh exiting against remaining investors, it exercises a discretion the contract grants but does not channel. The implied covenant asks whether that discretion was exercised honestly and in furtherance of the parties' reasonable expectations, or arbitrarily and for an extraneous purpose—such as the adviser's interest in the fees that a higher net asset value generates, or the sponsor's interest in the reputational benefit of a generous quarter. That is the doctrinally apt question, and it fits the wrong, where one exists, better than the duty of loyalty does.

D. The 1940 Act overlay

Two features of the federal framework supplement the state-law analysis. First, the Investment Company Act imposes its own fiduciary standard: Section 36(a) authorizes the Commission—though not private plaintiffs—to sue a fund's officers, directors, or adviser for "a breach of fiduciary duty involving personal misconduct."¹⁰⁶ The provision sets a high bar and is enforced only by the Commission, but it confirms that the persons exercising redemption discretion act in a federally recognized fiduciary capacity.

¹⁰⁶15 U.S.C. § 80a-35(a) (authorizing the Commission to bring an action for "a breach of fiduciary duty involving personal misconduct"). Section 36(a) provides no private right of action; Section 36(b), 15 U.S.C. § 80a-35(b), separately addresses the adviser's fiduciary duty with respect to compensation and supplies a limited private right.

Second, the affiliated-transaction rules bear directly on sponsor support. Transactions between a BDC and its affiliates are restricted by Section 57 of the Act, and between a registered fund and its affiliates by Section 17.¹⁰⁷ These provisions would, on their face, complicate a sponsor's injection of capital to support redemptions. But both contain a carve-out for an affiliate's transaction in the fund's *own* securities: the prohibition on an affiliate purchasing property from the fund excepts "securities of which the seller is the issuer," and a sponsor's purchase of fund shares on the same terms offered to other investors is the ordinary way affiliates invest alongside the public.¹⁰⁸ That carve-out is precisely the channel BCRED used—Blackstone and its employees subscribed for interests in a feeder, on the same terms as other investors—and it explains why the support raised no evident affiliated-transaction obstacle. The harder questions under Sections 57 and 17 arise not from a sponsor's same-terms participation in the offering but from joint arrangements and co-investments, which the joint-transaction rules generally require the Commission to approve by order.¹⁰⁹ The doctrinal map, in short, permits same-terms sponsor support while policing differential or joint dealing—a sensible line that nonetheless leaves the implicit-guarantee problem of Part V untouched, because that problem is one of investor expectation rather than affiliate self-dealing.

¹⁰⁷ 15 U.S.C. § 80a-56 (BDC affiliated transactions); 15 U.S.C. § 80a-17 (registered-fund affiliated transactions).

¹⁰⁸ 15 U.S.C. § 80a-56(a). The purchase prohibition of § 57(a)(2) reaches a knowing purchase from the BDC of "any security or other property (except securities of which the seller is the issuer)," and the sale prohibition of § 57(a)(1) excepts a sale to the BDC that "involves solely (A) securities of which the buyer is the issuer, or (B) securities of which the seller is the issuer and which are part of a general offering to the holders of a class of its securities." A sponsor's purchase of the fund's own shares is thus within the issuer-securities exception. *See also* 15 U.S.C. § 80a-17(a) (parallel exceptions for registered funds). The precise contours of these exceptions, and the availability of Commission exemptive relief, lie beyond this Note; the point in text is the limited one that a sponsor's same-terms participation in the fund's own offering is the ordinary, permitted channel for affiliate investment.

¹⁰⁹ 15 U.S.C. § 80a-17(d) and 17 C.F.R. § 270.17d-1 (joint transactions; Commission order generally required); 15 U.S.C. § 80a-56(o) (defining the "required majority" of BDC directors for approval of certain affiliated transactions).

E. The disclosure frontier and the 2026 litigation

If state fiduciary theories are blunted and the federal fiduciary provision is enforceable only by the Commission, federal *disclosure* law is where private litigation has gone, and it is the sharpest of the available tools. The securities laws are indifferent to how much discretion a charter confers; they care whether the fund told investors the truth about the value of what they hold and the liquidity they can expect. Two pressure points stand out.

The first is net asset value. If reported values were stale on the high side, as the market discounts suggested, then a fund that repurchased and sold shares at those values is exposed to the familiar theory under Section 10(b) and Rule 10b-5 that it understated unrealized losses and overstated net asset value. That theory is already in court. Among the first wave of suits arising from the 2026 stress are actions challenging private-credit valuation and disclosure directly.¹¹⁰ The valuation conflict—fees charged on net asset value, redemptions paid at net asset value, and the marks set by the adviser—supplies these suits their narrative engine, and it is the same conflict that the implied-covenant analysis identifies as the locus of any state-law wrong.

The second is the liquidity representation itself. The offering documents are, to their credit, candid that repurchases are discretionary and capped; BCRED's even warns that the program "should not be considered a guaranteed method to sell shares."¹¹¹ But two gaps remain, and both are candidates for the standardized disclosure that Part VIII proposes. One is the 7% ceiling: nowhere does the headline "up to 5%" become "up to 7%, and not a share more without our writing

¹¹⁰See *Goldman v. Blue Owl Capital Inc.*, No. 1:25-cv-10047 (S.D.N.Y. filed Dec. 3, 2025) (alleging violations of Sections 10(b) and 20(a) of the Securities Exchange Act premised on overstatement of net asset value); *Burnell v. BlackRock TCP Capital Corp.*, No. 2:26-cv-01102 (C.D. Cal. filed Feb. 3, 2026), consolidated as *In re BlackRock TCP Capital Corp. Securities Litigation* (same). Docket details confirmed via the federal court records. See generally Quinn Emanuel Alert, *supra* note 12 (cataloguing emerging private-credit litigation, including securities-fraud, fiduciary-duty, gating, and valuation theories).

¹¹¹Apollo Form 424B3, *supra* (cautioning that the share repurchase program "should not be considered a guaranteed method to sell shares promptly or at a desired price"); accord BCRED Form N-2, *supra*, at 16–17.

a check," even though that is the operative reality. The other is sponsor support: when a sponsor backstops one quarter and not the next, the absence of any disclosed policy governing *when* it will support leaves investors to infer a guarantee from conduct—the very inference that generates the implicit-guarantee problem. Neither gap is necessarily an actionable omission under current law. Both are reasons to think current law incomplete.

VIII. Implications and Reform

The 2026 episode did not break the semi-liquid model. By and large, every fund examined here did what its documents allowed; the investors who were rationed or gated received the capped, discretionary liquidity they were sold, and the antidiscrimination architecture of Section 23(c) functioned as designed. But the episode exposed gaps between what the instrument promises, what investors believe, and what the law requires, and each gap suggests a targeted reform that stops well short of dismantling a product that does real work.

A. Disclose the real ceiling

The "up to 5%" convention systematically understates the operative number. Every offer document already contains the two-point cushion; the marketing and the plain-language summaries should contain it too. A standardized statement—that the fund offers to repurchase 5% of shares per quarter, may in its discretion repurchase up to 7%, and will reduce requests above that level pro rata with no priority for resubmission—would close the gap between the headline and the reality at no cost, and would make the *rationing ratio*, not merely the offer percentage, salient. Pairing that disclosure with each fund's realized fulfillment history—the actual proration ratio in each recent quarter—would let an investor see that, for some funds, "5%" recently meant "45 cents on the dollar." Disclosure of this kind fits naturally within the existing Form N-2 and tender-offer frameworks and would require no new legislation.

B. Convert discretionary support into disclosed, bounded policy

The deepest lesson of money-market reform is that discretionary, episodic sponsor support destabilizes because it trains expectations it does not guarantee. A fund willing to backstop redemptions should be required to say so in advance, in a policy specifying the conditions, the cap, and the mechanism—converting an implicit guarantee into an explicit and bounded one. A fund unwilling to backstop should be required to say *that*, so its investors do not infer a rescue from a competitor's behavior. The regulatory interest is in eliminating the gray zone in which investors hold a guarantee that exists only until it is tested. The money-market analogy is instructive in a second respect: the law there does not compel support, but it channels it through a disclosed rule (Rule 17a-9) and surrounds it with mandatory, rules-based tools that allocate liquidity costs by formula rather than by grace. The private credit wrappers have the discretionary channel without the surrounding discipline.

C. Address the valuation–redemption conflict

The fairness problem of Part VI is ultimately a valuation problem: redemption at net asset value is fair to the investors who remain only if net asset value is fair. Two structural tools, both familiar from the open-end fund debate, deserve study. The first is an anti-dilution adjustment—a swing-pricing-style modification of the repurchase price, or a more robust and less holding-period-dependent early repurchase deduction—that makes the redeeming investor bear the liquidity cost the redemption imposes, and thereby shrinks the subsidy that over-honoring at a stale mark extracts from those who stay. That the Commission proposed but did not adopt mandatory swing pricing for open-end funds counsels humility about the mechanism's administrability, not indifference to the underlying problem; the problem presents more acutely here, where the assets are less liquid and the marks more discretionary, than in the open-end funds for which the tool was designed. The

second tool is independent valuation discipline for the marks that simultaneously set the management fee and the redemption price, given the adviser's conflict on both.

D. The retirement-plan stakes

These reforms gain urgency from the product's trajectory. Private credit is being packaged into target-date and managed-account options within defined-contribution retirement plans. The gating provisions that rationed sophisticated wealth-channel investors to 45 cents on the dollar in 2026 would apply with equal or greater force to retirement-plan participants, who have less capacity to understand an illiquidity term embedded in a retirement default, and who may need liquidity on a personal timetable unrelated to the fund's quarterly window. A redemption architecture whose real ceiling is undisclosed, whose sponsor support is discretionary, and whose redemption price embeds a valuation conflict is a more serious matter in a retirement default than in an accredited investor's satellite allocation. The disclosure and valuation reforms above should be treated as preconditions, not afterthoughts, of that migration.

E. What not to do

A final caution runs the other way. The gate itself is not the problem, and proposals to abolish it would be a mistake. The quarterly limit is the device that makes it possible to hold genuinely illiquid assets in a vehicle that offers any liquidity at all; without it, the semi-liquid fund would be either an open-end fund that cannot hold the assets or a closed fund that offers no liquidity. The antidiscrimination structure of Section 23(c), the pro-ration requirement, and the suspension powers are doing necessary work, and the 2026 episode is in large part a demonstration that they work. The reforms this Note urges are addressed not to the existence of the gate but to the gap between the gate as marketed and the gate as operated, and to the discretionary sponsor support that papers over that gap in good times and vanishes in bad. The object is to make the bargain legible, not to forbid it.

Conclusion

The first quarter of 2026 gave retail private credit its first broad test, and the funds answered in five different ways—refusing redemptions through the repurchase mechanism, honoring the 5% offer and rationing, honoring the 7% maximum the rules allow, and spending past the ceiling to honor everything. Read against the architecture of the gate, the dispersion is not random. It tracks a single number—the 7% ceiling that Rule 13e-4(f)(1) and Rule 23c-3(b)(5) build symmetrically into both wrappers—and a single act: the discretionary decision, taken each quarter by a board tied to a conflicted adviser, whether to spend to honor more than the documents require.

The phenomenon that prompted this Note—funds allowing more redemptions than their maximum—turns out to be neither simple generosity nor a stable feature of the product. It is sponsor support in a new wrapper, carrying the old money-market pathology of an implicit guarantee that is worth least when it is needed most. It can deepen rather than cure the transfer from loyal investors to fleeing ones when the mark is stale. And it lives in the seam where contractual discretion meets fiduciary obligation, policed not by the duties of care and loyalty that the governing instruments have largely waived and Maryland law has defused, but by the implied covenant of good faith and by federal disclosure law. BCRED's reversion from 100% to 5% in the space of a single quarter is the episode in miniature: the backstop was real, and then it was gone, and the difference was discretion. Before this architecture becomes the liquidity engine of American retirement accounts, the distance between "up to 5%" and what investors are actually owed—and actually believe—deserves to be measured, disclosed, and closed.